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US Economics

FOMC – Hawkish 25bp rate hike

CITI'S TAKE

Details of the FOMC meeting, including a unanimous 25bp rate hike and a median “dot” showing one more 25bp hike this year, were close to our and market expectations. Chair Warsh largely repeated now-familiar hawkish language while declining to give guidance or details of the Fed’s reaction function. Warsh’s statement that today’s action “starts to show that we are serious” and upward revision to core PCE in ’26 were modest hawkish surprises. We see room for the Fed to be surprised by cooler inflation readings between now and the December FOMC meeting, including downward revisions to core PCE inflation this month. In our base case, the Fed holds policy rates steady in October, awaiting more data and declines to hike in December, resuming rate cuts in June 2027.

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Today's unanimous decision to raise policy rates 25bp was close to our expectations, with two hawkish exceptions.

First, core PCE inflation in '26 was revised up from 3.3% to 3.4%, when we had thought that it would be revised downward. This suggests that Fed officials did not incorporate methodological revisions set to be released on September 30th or (less likely) included them but think they are small. We project ~30 bp downward revisions to year-on-year core PCE, meaning Fed officials may be dovishly surprised relative to their expectations later this month.

Second, Chair Warsh sounded slightly more hawkish than we had expected. Many of the statements he made were repeated from his speech at Jackson Hole and did not provide new information. But it was revealing that he explained that today's hike "starts to show we are serious," which implies an expectation for further policy action. He also did not use any words like "calibration" to limit the number of hikes priced in by the market. When asked if there are reasons to think this would not be a traditional hiking cycle, he replied that he does not give forward guidance.

Other details were close to our expectations. In our base case we had expected a unanimous decision, but the lack of dissent was marginally hawkish relative to consensus, which thought there might be a few dovish dissents. Warsh presented a unified committee, but we expect many Fed officials were on the fence about the need for higher policy rates but ultimately believed the best course for long-term credibility was to support the consensus to hike at this meeting.

The 2026 median "dot" expectedly showed a strong consensus for one additional 25bp rate hike this year. Many officials likely expect to hold policy rates in October and then deliver another 25bp rate hike in December if data suggest inflation is not falling toward target. Four officials wanted to hike an additional 50bp this year.

The median "dot" shows rates on hold at 4.1% in 2027, then declining gradually over 2028 and 2029. In summary, the dots imply only a very modest tightening (50bp) that is subsequently reversed as inflation cools.

When asked what occurred since July to provoke a hike, Warsh responded that (1) economic growth – including the labor market – has strengthened, (2) the trend in inflation has not "meaningfully improved," and (3) geopolitical developments have raised commodity prices.

We expect Fed officials to be surprised by cooler month-on-month core inflation in coming months and do not foresee a substantial acceleration in economic growth. In contrast to Chair Warsh's description of the labor market, the recently modest rate of hiring and unemployment rate that has stayed low only due to rapidly declining labor force participation does not suggest an acceleration of labor demand.

In our base case, we expect Fed officials to remain on hold in October, waiting for more data to ascertain the effect of raising policy rates 25bp (and the more substantial rise in longer term policy rates). We then expect another hold in December as a series of cooler inflation readings provides enough evidence that inflation is slowing to once again hold rates steady. We expect the Fed to return to rate cuts in June 2027 as inflation continues to cool.

Figure 1. Fed's summary of economic projections

		2026	2027	2028	LR
Real GDP	Sep	2.3	2.4	2.2	2.0
	Jun	2.2	2.3	2.2	2.0
Unemployment rate	Sep	4.1	4.1	4.1	4.2
	Jun	4.3	4.3	4.2	4.2
PCE inflation	Sep	3.7	2.3	2.1	2.0
	Jun	3.6	2.3	2.0	2.0
Core PCE inflation	Sep	3.4	2.5	2.2	
	Jun	3.3	2.5	2.1	
Federal funds rate	Sep	4.1	4.1	3.9	3.2
	Jun	3.8	3.6	3.4	3.1

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Source: Citi Research, FRB

FOMC Statement Changes

(Text in **bold** denotes changes to the FOMC statement)

The Federal Open Market Committee approved the following statement for release by a **9–312–0** vote:

The Committee decided to ~~maintain~~**raise** the target range for the federal funds rate ~~at 3–by 1/24 percentage point~~ to 3–3/4 to 4 percent, in support of the Federal Reserve's dual mandate. The Committee is continuing its policy of maintaining ample reserves in the banking system.

Economic activity is expanding at a solid pace ~~despite elevated~~ . ~~While~~ uncertainty ~~that owes~~**remains elevated** owing, in part, ~~to the conflict in the Middle East~~**geopolitical developments, domestic spending has been resilient.**

Productivity growth **is strong**, and capital investment ~~are~~**strong****is robust**. Job gains have kept pace with the workforce, and the unemployment rate has changed little.

Inflation remains elevated relative. **Today's policy action will support a timelier return** to the Committee's 2 percent goal, ~~in part reflecting supply shocks that have driven price increases in certain sectors, including energy.~~ The Committee will deliver price stability.

~~Voting against the monetary policy action were~~ Beth M. Hammack, Neel Kashkari, and Lorie K. Logan, ~~who preferred to raise the target range for the federal funds rate by 1/4 percentage point at this meeting.~~

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